UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Midcontinent Independent System Operator, Inc.	**)** **)**	**Docket No. ER27-25-000**

MOTION FOR LEAVE TO ANSWER AND ANSWER OF THE MIDCONTINENT INDEPENDENT SYSTEM OPERATOR, INC. TO COMMENTS AND PROTESTS

The Midcontinent Independent System Operator, Inc. ("MISO") submits[1] this Motion for Leave to Answer and Answer to the comments and protests filed in the above-captioned docket. This proceeding involves a filing made under section 205 of the Federal Power Act ("FPA")[2] to implement the proposed Large Load Addition Resource Study ("LARS") process. In Docket No. ER27-25-000, MISO proposed to amend its Attachment X, Generator Interconnection Procedures ("GIP"), and Attachment FF to provide a framework for the accelerated study of the addition of 200 MW or greater loads together with new generation resources that are electrically proximate to those loads.[3]

MISO seeks leave to respond to the submitted comments and protests due to the importance of the LARS process in addressing the integration of large loads onto MISO's Transmission

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1 *See* Rules 212 and 213 of the Rules of Practice and Procedure of the Federal Energy Regulatory Commission ("FERC" or "Commission"), 18 C.F.R. §§ 385.212 and 213 (2026).

2 16 U.S.C. § 824d.

3 *See Midcontinent Indep. Sys. Operator, Inc*., "Large Load Addition Resource Study Process," Docket No. ER27-25-000 (Oct. 2, 2026) ("LARS Filing"); the GIP and Attachment FF are available at: https://www.misoenergy.org/legal/rules-manuals-and-agreements/tariff/.

System.[4] Also, because a number of commenters misstate the intent and background of LARS, raise extraneous issues, seek clarifications, and/or propose changes, MISO requests permission to respond to the intervenors' arguments to clarify the record and assist the Commission with its decision-making.

I. MOTION FOR LEAVE TO FILE ANSWER

Under the Commission's rules, answers to protests generally are not permitted.[5] Nonetheless, the Commission waives this requirement where an otherwise prohibited answer would clarify the issues under consideration, ensure completeness of the record or assist the Commission in its decision-making.[6] Consistent with this precedent, MISO asks for leave to submit this Answer to the protests filed in the above-captioned docket[7] to provide additional information related to certain issues raised by the intervenors and assist the Commission in its decision-making. MISO's response is particularly warranted given how LARS fits in with MISO's broader large load framework. Accordingly, MISO respectfully requests that Rule 213(a)(2)[8] be waived and that the Commission accept this Answer for good cause shown.

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4 MISO uses the uncapitalized term "large load" in this answer rather than the "Large Load" term proposed in MISO's pending Large Load Interconnection Reliability Requirements filing. This is done to avoid confusion because that definition remains pending before the Commission and because, given the 200 MW threshold for entry into LARS, not all "Large Loads" will be eligible to be a "LARS Associated Load."

5 *See* 18 C.F.R. § 385.213(a)(2)(2026).

6 *See, e.g.*, *Midcontinent Indep. Sys. Operator, Inc.*, 169 FERC ¶ 61,173, at P 24 (2019) (accepting MISO's answer to protests that assisted in the decision-making process); *Texas Eastern Transmission, LP*, 122 FERC ¶ 61,205, at P 8 (2008) (accepting answer that completed the record); *California Independent System Operator Corp.*, 105 FERC ¶ 61,284, at P 10 (2003) (accepting answer that clarified the issues under consideration).

7 There is no prohibition under the Commission's rules for submitting answers to comments.

8 18 C.F.R. § 385.213(a)(2)(2026).

II. EXECUTIVE SUMMARY

MISO proposed LARS as part of its response to the Commission's Show Cause Order,[9] and as a standalone procedure that will immediately improve the study process for large loads looking to connect to MISO's system and create significant opportunities for lowering the costs of mitigating the impacts of integrating the largest of large loads onto the MISO Transmission System. As highlighted in many of the comments filed in this docket, the energy industry is changing quickly, and many states are experiencing significant new load additions in the near-term.[10] LARS is one of MISO's proposed solutions to more effectively address this problem. It is a standalone process that enables the optimization of transmission solutions by allowing MISO to study both the large load and the generation that will serve it at the same time, promoting process efficiency, cost responsibility, and affordability. The tool offers a vast improvement over the status quo leveraging available efficiencies in other MISO processes.

MISO appreciates the opportunity to respond to the protests and comments in support it received in response to its LARS filing. In particular, MISO appreciates the opportunity to clarify misconceptions and concerns surrounding cost impacts. LARS, in fact, provides an opportunity to better mitigate cost impacts of new Large Load integration over the status quo for LSEs that choose to leverage the tool. While LARS was well-received by a wide variety of stakeholders,

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[9] *Midcontinent Independent System Operator, Inc.,* Order Instituting Proceeding Under Section 206 of the Federal Power Act, 195 FERC ¶ 61,212 (2026) ("Show Cause Order" or "SCO").

[10] All LARS Comment citations in this Answer are from *Midcontinent Indep. Sys. Operator, Inc*., "Large Load Addition Resource Study Process," Docket No. ER27-25-000 (Oct. 2, 2026). *See* Data Center Coalition LARS Comments at 2-3; NIPSCO LARS Comments at 2-4; MISO Transmission Owners LARS Comments at 6-9; Entergy and Cleco LARS Comments at 10-11; Mississippi Public Service Commission and the Louisiana Public Service Commission (the "Southern Regulators") LARS Comments at 1-2; and Alliant Energy Corporation and Consumers Energy LARS Comments at 15-16.

there are certain aspects of the LARS process that warrant additional explanation given the comments received.

LARS Responds to the Commission's Show Cause Order

First and foremost, LARS responds to several of the concerns raised in the Commission's Show Cause Order.[11] LARS addresses the Commission's concern regarding the speed at which large loads are seeking to interconnect,[12] by enabling the generation associated with the most resource intensive (i.e., the largest) large loads to be aligned and studied on a similar timeline to that currently experienced for Expedited Project Reviews ("EPRs") of local transmission projects associated with large load additions. LARS also enables the potentially-significant cost saving efficiencies that the Show Cause Order sought for electrically proximate large loads and associated generation by allowing for a more complete picture of the localized Transmission System and the identification of an optimized set of Network Upgrades to address the impacts of both the load and the generation, creating opportunities for more efficient, and potentially less costly Network Upgrades that could be identified in the separate load and generation studies that occur today.[13]

LARS Helps Mitigate Cost Shifting, Supports Cost Causation Principles, and Addresses Urgent Needs Now Without Prejudicing Subsequent Large Load Reforms

Second, MISO recognizes the importance of developing a cost allocation framework that will prevent cost shifting and align with the Commission's cost causation principles. As MISO explained in its transmittal letter, aspects of the broader cost allocation framework for large loads

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[11] Show Cause Order at P 113.

[12] Show Cause Order at P 120 (expressing concern that "the relative speed and concentration at which large loads are seeking to interconnect appears to be outpacing the addition of new generation, which in turn heightens reliability risks and drives up costs to ratepayers.").

[13] Show Cause Order at P 106-109.

and implementing agreements are still being developed by MISO, the Transmission Owners, and other stakeholders but will ultimately be part of MISO's response to the Show Cause Order to be filed on November 16. MISO has committed to incorporating the large load reforms being developed in response to the Show Cause Order with LARS as they become accepted by the Commission.[14] Even without these, the LARS proposal includes a Tariff mechanism for identifying and assigning any necessary transmission Network Upgrades associated with the generation/load pair to the Transmission Customer or the Interconnection Customer.

MISO understands the desire of some protestors to delay LARS until all of MISO's proposed large load reforms can be considered together. However, such a delay would frustrate the goals of the Show Cause Order and needlessly sacrifice the benefits of critical reforms for ratepayers and stakeholders without corresponding benefit. Acceptance by the requested effective date is needed to give MISO and its stakeholders the time to establish internal processes and implement LARS by the first quarter of 2027. Rejecting or delaying LARS implementation will not slow down the pace of Large Load integration. MISO has processed more than 32,734 MW of large load additions through its EPR process anticipates that it will be required to process anywhere from an additional 5,000 MW to 15,000 MW in Q1 of 2027. If LARS is not available, the result would not be that large load studies will stop until all elements of Large Load reform have been accepted by the Commission. Rather, large loads will continue to be studied through the EPR process, which does not allow MISO to identify optimized transmission solutions or utilize a non-GIA generator as a mitigation option. The cost, timing, and efficiency benefits of

[14] Many of these additional elements will become applicable to LARS automatically because all loads included in LARS are "Large Loads" and thus requirements applicable to Large Loads such as the transparency dashboard, will apply. Where reconciliation of Tariff versions is required in order to apply forthcoming reforms to LARS, MISO has committed to make such filings promptly. *See,* LARS Transmittal Letter at n 66.

LARS should not be delayed pending the approval of other reforms, especially since MISO has committed to integrating those reforms into LARS upon their acceptance.

LARS Does Not Adversely Impact Projects in the Existing Interconnection Queue

Third, MISO has structured the LARS process to not harm projects in the existing generation interconnection queue. LARS projects are not displacing current projects in the Definitive Planning Phase ("DPP") queue and claims that LARS projects will take the transmission headroom capacity of projects in future queue cycles are speculative. LARS projects will identify optimized transmission solutions that could ultimately create *more* headroom on the transmission system with their potentially larger Network Upgrades, and any LARS projects and their associated upgrades may be used to help alleviate constraints observed in queue cycle studies. Moreover, maintaining LARS as a process separate from the DPP better insulates Interconnection Customers from bearing the cost of Network Upgrades needed to accommodate generation serving a LARS Associated Load.

LARS Is Appropriately Scoped to Address the Unique Challenges and Opportunities Associated with the Largest Large Loads and Generation Pairs

Fourth, the LARS Application and strict eligibility requirements are designed to ensure that only genuinely shovel-ready generation-and-load pairs participate in LARS. MISO structured LARS to permit participation by all developers and resource types. The process requires Transmission Customers to collaborate with other parties before submitting a LARS Application. Rather than making Transmission Customers (commonly LSEs) gatekeepers of the LARS process, this requirement recognizes the essential role Transmission Customers play in integrating large loads onto the grid. Limiting loads to a minimum of 200 MW and requiring commercial agreements will act as a natural barrier to speculative projects and will result in only truly

committed generation and load pairs applying. Following MISO's experience with loads participating in its EPR process, MISO's 200 MW threshold for large loads participating in LARS is reasonable and will serve to ensure that LARS is only used by the largest load participants, which enables MISO to identify optimized transmission solutions. MISO does not believe that implementing a sunset on LARS is appropriate at this juncture but is committed to reviewing the process on a regular basis to determine whether there continues to be sufficient demand for it.

LARS Meets the Independent Entity Variation Standard; It is An Innovative Solution Tailored to Specific Needs and is Consistent with the Goals of Commission Orders.

Finally, MISO has met the standard for independent entity variation as serial studies of the generation side of LARS projects are necessary to facilitate the quick addition of these projects to the grid and LARS will not change DPP rules. LARS is limited in scope both by its strict eligibility requirements and because only thirty generation and load pairs may be studied each year. Thus, the LARS proposal meets the goals of Order Nos. 2003 and 2023 by expediting the development of new generation, while protecting reliability and ensuring that rates are just and reasonable,[15] as well as by establishing strict eligibility requirements to meet readiness principles of the Orders and ensuring only truly commercially viable projects participate.[16]

III. ANSWER

Twenty-one entities filed substantive Protests or Comments in response to the LARS filing. Of that number, ten parties supported LARS, recognizing and confirming the need to act expeditiously to address the dramatic growth in large load development. Many of these supporters recognize in their comments that LARS provides a path to avoid studying large loads and

[15] Order No. 2003 at 11.

[16] Order No. 2023 at 454-455.

associated generation through separate processes on different schedules and would produce a more realistic picture of the grid, which could create opportunities for MISO to potentially optimize Network Upgrades.[17] The commenters recognized that pairing large loads with generation to support them is one way to reduce the need for significant transmission upgrades that may be needed if only the generation or load were interconnecting to MISO's system.[18] Eleven parties submitted either protests or requests for clarification on certain details of the LARS proposal.

In this answer, MISO seeks to clarify certain aspects of the LARS proposal including that: (1) it is responsive to the concerns underlying Commission's electrically proximate arrangements discussion described in the Show Cause Order; (2) it provides an effective vehicle to help support resource adequacy in the face of impending Large Load additions; (3) it provides an efficient and reasonable parallel study process that will address urgent needs now while will also working with MISO's forthcoming Large Load reforms; (4) it will help address affordability and identify optimized transmission solutions; (5) it will not negatively impact projects in the existing interconnection queue; (6) its eligibility requirements are appropriate and will limit the number of applicants to those that are commercially ready; and (7) it is consistent with the goals of the Show Cause Order and Commission principles established in other relevant Commission Orders. MISO's LARS proposal is just and reasonable and not unduly discriminatory. As such, MISO

[17] Consumers Energy and Alliant LARS Comments at 2; Data Center Coalition LARS Comments at 4; DTE LARS Comments at 2; Electricity Customer Alliance ("ECA") LARS Comments at 1.

[18] Entergy and Cleco LARS Comments at 2.

respectfully asks that the Commission accept its proposal to enable MISO to implement this needed study process by the first quarter of 2027.

A. LARS is Responsive to the Commission's Show Cause Order

The Electrically Proximate Requirement

Many of the protesters suggested that how MISO defined "electrically proximate" is not responsive to the Commission's Show Cause Order.[19] The protesters emphasize that the Commission defined "electrically proximate" as a "large load that is located no more than two substations away from the generating facility."[20] The protestors argued that MISO's proposal of allowing the generation and load pair to be located in the same Local Resource Zone ("LRZ") to meet the electrically proximate requirement fails to meet the Commission's expectations.[21] But the Commission expressly stated that it would "consider proposed revisions to this definition that ensure it is appropriately tailored to MISO's transmission system."[22] MISO is expanding upon the Commission's definition to fit its needs and resource adequacy construct. LARS does not limit the electrical or physical distance between the load and generator within the same LRZ to provide maximum flexibility for the generation/load pairs. MISO determined that requiring the generation and load to be located within the same LRZ enabled flexibility while still allowing it to identify optimized Network Upgrade solutions. In developing LARS, MISO concluded that defining a maximum distance based on substations would impede the flexibility of large loads and

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[19] Clean Energy Trades LARS Comments at 18; the Community Organizations and Clean Energy Advocates (the "Advocates") LARS Comments at 37-38; Consumer Advocates LARS Comments at 9; OMS LARS Comments at 8; and the Southern Minnesota Municipal Power Agency and WPPI Energy (the "Midwest TDUs") LARS Comments at 5-6.

[20] Show Cause Order at P 112.

[21] MISO clarifies that both the large load's point of withdrawal ("POW") and the generator's point of interconnection ("POI") as well as the facilities must be located in the same LRZ.

[22] Show Cause Order at P 112.

Interconnection Customers to site their projects in a way that made the most sense for the parties. Moreover, in the context of MISO's Transmission System, such a limit would be arbitrary. MISO notes that depending on a transmission line's voltage level, two substations could still be hundreds of miles apart and does not necessarily result in generation and load being geographically near each other.[23] On other parts of MISO's Transmission System, several substations can be fairly close together such that a geographically proximate Generating Facility and large load may have very limited options for interconnection.

Under the LARS construct, there is no requirement that the Generating Facility limit its output in real time to fluctuations in the demand of the large load.[24] This is not the mechanism LARS uses to create value and potential savings. Thus, a bus or other electrical distance limit is not a necessary component of the LARS construct. The opportunities for lowering the Network Upgrade costs of interconnecting and providing generation to the large load come from the LARS process's ability to include generation that does not yet have a Generation Interconnection Agreement ("GIA") in the load study and to model the proposed large load in the generation study. LARS enables this to be done with confidence because LARS places requirements on both the LARS Associated Transmission Customer and the Interconnection Customer that are not otherwise required of loads and generators that greatly reduce both the opportunities for speculative

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[23] MISO, *Transferred Transmission Facilities*, available at: https://www.misoenergy.org/legal/transferred-transmission-facilities/#t=10&p=0&s=FileName&sd=asc. See for example, ITC Midwest: Lehigh to Raun 345kV 116 miles, available at: https://cdn.misoenergy.org/ITC%20Midwest%20Transmission%20Owner%20Transferred%20Facilities%20202026390628.xlsx; ATC: Briggs Road to North Madison 345kV 161 miles, available at: https://cdn.misoenergy.org/American%20Transmission%20Company%20Transferred%20Facilities%20202026390603.xls; ALLETE MP/MHEB: Iron Range to Dorsey 500kV 357 miles (224 to the border), available at: https://cdn.misoenergy.org/ALLETE%20MP%20SWLPC%20Transferred%20Facilities%202026390599.xlsx.

[24] MISO has proposed a process to accommodate such arrangements, through its ZG Interconnection Service process, which currently is pending before the Commission in Docket No. ER26-3552-000. LARS does not seek to duplicate ZG Interconnection Service but instead provide a different tool for different situations.

submissions and the potential for cost shifts due to the load or generation not being built.[25] With both the load and Generating Facility accounted for in the same study process, their impacts at peak operation (*i.e.* maximum injection of the Generating Facility and full amount of Transmission Service requested for the large load) can be accounted for in the modeling stage, thereby avoiding the potential for requiring Network Upgrades in one study that are more expensive or different from what would be identified if both were studied in isolation. This delivers the value of optimized Network Upgrades but using a different, innovative approach, one which is tailored to the needs of the MISO region and the other MISO processes.

While some protestors complain that a Local Resource Zone is too large to address the Commission's "electrically proximate" discussion, none have provided evidence to suggest that MISO's LRZ-based requirements will not allow for a more optimized set of Network Upgrades than is possible to identify under current processes. Nor do protestors recognize that that, while adjacent large loads and Generating Facilities may produce the most significant Network Upgrade optimization, limiting LARS on that basis would—in aggregate leave the efficiency and cost savings LARS promises by making it unusable in the many situations where it could still produce a more optimized set of Network Upgrades. In this respect, MISO also notes that LARS is limited to large loads and Generating Facilities that seek at least 200 MW of Transmission Service and 200 MW of Interconnection Service respectively. Given this scale, the potential efficiency and cost savings for Network Upgrade optimization may easily span an LRZ.

[25] It is highly unlikely that a Transmission Customer and Interconnection Customer would choose to enter LARS if they did not have a high degree of commitment to each other's projects being built. And if one does not materialize, new service or a new study reflecting the impact of only the facility proposed to remain is required for the Generating Facility or Large load to maintain their service, thus avoiding cost shift risks.

Moreover, while LARS sets the outer boundaries at the borders of a Local Resource Zone, it nonetheless creates a strong incentive for the LARS Associated Generating Facilities and LARS Associated Load to site as close together as is practical in order to maximize potential Network Upgrade cost savings of a common set of Network Upgrades. MISO's LRZ approach thus can be considered an "electrically proximate plus" construct because it provides benefits both to those large load and Generating Facility pairs that can site next to each other while also providing benefits to those further apart. It should not be objectionable that LARS provides efficiency benefits in more situations than the smaller subset contemplated by the Show Cause Order.

Finally, allowing Generating Facilities participating in LARS to interconnect at multiple POIs furthers the "electrically proximate plus" benefits of LARS. This provides Interconnection Customers with the necessary flexibility to serve extremely large loads and in way that MISO can optimize any necessary transmission solutions. As Ms. Drake explained in her testimony, "[u]ltimately, limiting the generation and LARS Associated Load to locations within the same LRZ ensures deliverability of the generation to the LARS Associated Load because it avoids potential capacity import / capacity export limitations for the individual LRZ and also avoids price separation between the paired generation and LARS Associated Load."[26] MISO therefore correctly determined that the LRZ was the appropriate limitation on electrically proximate generation and load pairs as adequately fitting within its current construct and providing maximum flexibility for participants.

[26] Drake LARS Testimony at 40-41.

LARS Heeds the Call for Speed to Power and Supports Resource Adequacy

The immensity and rate of large load additions across the United States is requiring unique proposals. While MISO had already considered creating a process to study load with generation at the same time, the Commission's Show Cause Order underscored the need to establish the study process sooner rather than later. LARS advances that objective within the MISO region by providing a process through which significant new large loads and generation intended to support that load can be studied on an accelerated and coordinated basis. LARS is another complementary tool that harmonizes with MISO's large load framework including its recently proposed ZGIA process for co-located load. Each of the proposed processes seek to address different challenges posed by large load growth and LARS provides a pathway for paired load and generation to be studied and commence service together.

The Commission recognized in its Show Cause Order that "the relative speed and concentration at which large loads are seeking to interconnect appears to be outpacing the addition of new generation, which in turn heightens reliability risks and drives up costs to ratepayers" and stated it was "concerned that MISO and load serving entities are unable to plan adequate generation to serve all load at the pace such load seeks to connect."[27] MISO developed LARS in the context of this dramatic large load growth and is proposing the LARS process to help address that growth. The strict entry requirements for LARS both support its intended benefits and underscore that LARS is not, and should not be, a replacement for the DPP.[28] Rather, it is intended to be a narrowly scoped but powerful process. LARS speeds up the interconnection process for a select number and kind of project where the large load has formally partnered with generation for a period of 15

[27] Show Cause Order at P 120.

[28] *See id.* at 12.

years. LARS will provide a path for the interconnection of both large loads and supporting generation pairs in a parallel 120-day study process. This will enable MISO to optimize transmission solutions for these pairs when studying their impacts at the same time.

B. Large Load Cost Allocation Framework

Several protesters oppose LARS because it fails to address the cost-shifting concerns and lacks transparency on costs.[29] First, LARS does not create any new cost shift opportunities, but LARS does mitigate risks that already exist. Further, as explained in the transmittal letter, MISO continues to work with stakeholders to develop *pro forma* cost recovery agreements as part of its Large Load Project Review ("LLPR") process, which will be proposed as part of MISO's response to the Commission's Show Cause Order. MISO also will address transparency for Large Load-driven Network Upgrade costs. This work is important and MISO has committed to integrating LARS with its other large load reforms as they are accepted by the Commission and become available for use. However, MISO disagrees that the LARS is incomplete or should not be accepted unless and until LLPR and its related reforms have been accepted by the Commission.

LARS significantly improves upon current processes available to study large loads. With respect to cost responsibility, accountability, and cost shifting, the LARS filing includes Tariff language stating:

> Once MTEP approval occurs for the LARS Associated Load, the LARS Associated Transmission Customer remains responsible for the identified BRPs and Other assigned projects even if such LARS Associated Load does not commence service or commences service for less than the total amount of the LARS Associated Load….[30]

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[29] Anna Farrar LARS Comments at 3; the Advocates LARS Comments at 13; Consumer Advocates LARS Comments at 6; OMS LARS Comments at 5; and Google LAR Comments at 3.

[30] *See* Tariff Sheets included with LARS Filing at Attachment FF, proposed section I.D.1.b.ii.g.

This language clearly associates the non-GIP local Transmission Facilities needed to accommodate Transmission Service for a large load undergoing the LARS study process with the LARS Associated Transmission Customer and assigns the cost of these facilities to the LARS Associated Transmission Customer even if the large load is ultimately not built. MISO and the MISO Transmission Owners will include in their Large Load filing(s) due on November 16, 2026, the *pro forma* cost recovery agreements that provide an enforcement mechanism for the obligations of Transmission Customers seeking Transmission Service to serve Large Loads. MISO also has committed to integrate the Large Load reforms into the LARS process through an appropriate filing once those reforms are accepted, and MISO is willing to accept a compliance directive requiring such a filing should the Commission deem this necessary. However, MISO cannot predict how long it will take for these further reforms to be accepted by the Commission and become effective. What MISO can predict is that large loads will continue to move forward and require expedited study of Network Upgrades to interconnect them. Delaying or denying LARS will not address the concerns raised by protests. Rather, it will simply mean that MISO will be required to use current processes, such as EPR, to study these large loads.

LARS significantly improves upon current study processes, addresses numerous concerns expressed in the Show Cause Order, and can be applied to the next group of large load integrations even if other reforms are not yet accepted. MISO does not claim that LARS is a panacea or that it will obviate the need for forthcoming additional reforms such as *pro forma* agreements and transparency mechanisms. But the fact that all reforms may not be available when LARS

commences would be a poor reason to deny the MISO footprint the clear benefits that LARS can provide for processing large loads and their associated generation integrations in the near term.

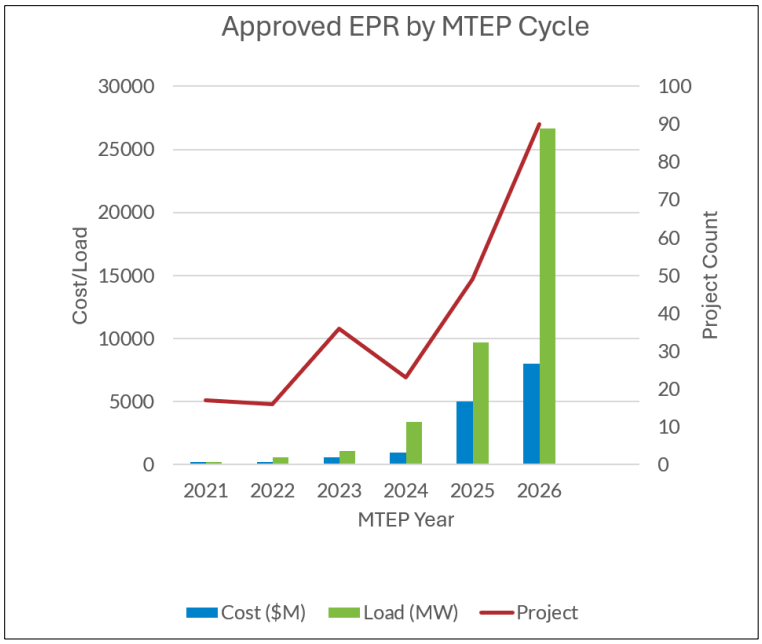
LARS is not creating a new cost-allocation problem. MISO has historically applied distribution factor ("DFAX") thresholds for cost assignment of GIPs. In situations where a generator has an impact but is below the DFAX threshold, the cumulative impact of all Interconnection Requests may create a transmission need that must be resolved in MTEP or a future DPP cycle. LARS is no different.

The EPR process was historically facilitated by MISO to study projects out of the regular MTEP cycle when there was an urgent system need that would be jeopardized unless an expedited system impact study was conducted.[31] EPRs allow for the incremental addition of transmission and load to the electric grid. The recent and dramatic acceleration of these EPR submittals drives the need for more generation to meet that increased spot load growth. An example of this is demonstrated in the figure below, which shows that individual EPR requests continue to increase in load size and transmission investment.[32]

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[31] MISO, *MTEP25 Report 36* at 6(2025), https://cdn.misoenergy.org/MTEP25%20Report731648.pdf ("MISO MTEP 25 Report") ("MISO has worked with stakeholders to refine the Expedited Project Review (EPR) process to advance urgent transmission projects outside the standard MTEP cycle — with the increased use of this process being a good indication of how quickly system needs are emerging.").

[32] MISO, *EPR Statistic Update*, Expedited Project Review Technical Studies Task Force (EPR-TSTF), Slide 9, Nov. 3, 2026, available at: https://cdn.misoenergy.org/20261103%20EPR-TSTF%20Item%2003%20MISO%20EPR%20Statistics_UPDATED792865.pdf?_t_id=5OVCdhOREsRw7EzoAr-xAA%3d%3d&_t_uuid=Toha-s9SSzWtdq2zatRW5g&_t_q=EPR&_t_tags=language%3aen%2csiteid%3a11c11b3a-39b8-4096-a233-c7daca09d9bf%2candquerymatch&_t_hit.id=Optics_Models_Find_RemoteHostedContentItem/792865&_t_hit.pos=4.



This EPR data supports MISO's assertion that load growth is increasing dramatically in the MISO footprint and will likely continue to do so in 2027 and beyond. Moreover, based on internal analysis, with this increase in EPR submittals, MISO has also seen an increase in the average Network Upgrade cost in 2026.[33] As the load margins grow tighter, larger investments are needed to mitigate constraints as MISO is relying on more generation transfers to cover the load.

LARS is one component of MISO's answer to this problem. And it is needed urgently. By enabling large loads (≥200 MW) to pair with generation, MISO can study the pair in the LARS process and potentially identify optimized transmission solutions. The EPR process only studies load and cannot incorporate a generator as a potential mitigation solution unless it has a GIA, which can delay getting the load interconnected as it is waiting for generation to be studied and completed. LARS improves upon this status quo, provides speed to power for the largest of large

[33] Fifty-six Load Requests were approved as part of MTEP26 with an average cost of $145,000,000 per project. For large loads greater than 200 MW, the average cost was $201,000,000.

loads, and significantly decreases the opportunities for cost shifting even while other reforms remain pending.

LARS is a solid building block in MISO's large load framework and can be implemented independently from the forthcoming LLPR filing. The LARS process does not create new opportunities for cost shifting and, even without the LLPR process, imposes more accountability on the Transmission Customer than MISO's current processes do. Finally, there is nothing in the LARS proposal that would prevent a state regulator from allocating costs of a BRP or Other project more granularly to a specific retail customer.[34]

C. LARS Will Not Harm the Existing Queue

MISO understands that many stakeholders are concerned that LARS projects will take available transmission capacity or headroom from other projects currently in the DPP queue.[35] The argument is that since LARS and DPP interconnection customers are vying for the same capacity, adding LARS projects to the transmission system before DPP projects will necessarily reduce the transmission headroom available for DPP projects.[36] The assertion is that because LARS projects will be studied first, they will have priority on MTEP upgrades that could have otherwise been utilized to mitigate constraints for a previously queued DPP project that is subject to a longer study process.[37]

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34 Nor does LARS intrude on the authority of RERRAs to establish rules and policies for their Load Serving Entities.

35 *See* Advanced Energy United and Solar Energy Industries Association ("SEIA") at 10; the American Clean Power Association and the Southern Renewable Energy Association ("Clean Energy Trades") at 15; Ms. Farrar at 2; the Advocates at 19; and the Consumer Advocates at 11.

36 *See* Clean Energy Trades at 20 ("LARS projects would gain priority access to transmission capacity and avoid Network Upgrades they would otherwise trigger, shifting costs to DPP customers and other transmission customers.").

37 *See id.*

MISO has taken numerous steps to protect current DPP queue projects from losing available transmission capacity. First, each LARS study cycle model will be built based on the existing MTEP model, which would not remove any available headroom from active DPP queue projects using previous MTEP models.[38] All approved projects which have gone through the MTEP, EPR, ERAS, or DPP processes are included in the base LARS model. All load studies follow the same concepts outlined in MTEP but in a more expedited manner. Second, MISO already has several processes in place to address these kinds of situations. MISO's Business Practice Manual 015 for generation interconnection states that in order to mitigate a constraint, MISO will check the MTEP appendices and discuss the issue with the impacted transmission owners to determine if there already exists a planned project that will alleviate the constraint.[39] The base case for each DPP cycle is not updated once the study process starts except for generation changes due to withdrawals or generator retirements. This will ensure that the transmission capacity that is available for DPP projects is not being taken away by LARS projects approved outside of the DPP cycle.[40]

Several commenters also implied that LARS projects will result in higher network upgrade costs for DPP projects, but there is no evidentiary support for this assertion and the proposed LARS tariff redlines require LARS participants to pay all Network Upgrade costs associated with their proposed project even if they end up withdrawing it. Moreover, any LARS projects and their

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38 *See* Drake LARS Testimony at 32-33.

39 BPM 15, Section 6.1.1.1. MISO's Business Practices Manuals can be found at: https://www.misoenergy.org/legal/rules-manuals-and-agreements/business-practice-manuals/.

40 To the extent that protestors' argument is that hypothetical future Interconnection Customers may see diminished Transmission headroom as a result of MISO adopting the LARS process, such an argument would be entirely speculative. LARS Applicants will pay for the Network Upgrades their projects require and, like other customers, may create headroom or use it.

associated Network Upgrades approved as part of the LARS process can be used to mitigate constraints in DPP cycles, which may also benefit DPP projects.[41]

D. LARS Application and Eligibility Requirements

i. LARS is Not Preferential to LSEs.

A common complaint among protestors was that LARS enables Load Serving Entities ("LSEs") to gatekeep who can participate in the process.[42] MISO disagrees with this assessment for several reasons. First, under MISO's current processes, only Transmission Owners may submit EPR requests – Interconnection Customers have never been allowed to submit these kinds of requests to MISO. LARS does not change this dynamic. LARS is a load-driven process, and an Interconnection Customer cannot require a Transmission Customer to scope their Transmission Service request around a generator they have not chosen to pair with. Thus, it is logical to require the Transmission Customer to act as the applicant. To the extent that an Interconnection Customer has developed an agreement to work together with a Transmission Customer, the requirement that the Transmission Customer initiate the application provides no barrier to participation. If no such agreement exists, then the pairing of load and generation in a coordinated study process would be premature and speculative. LARS does not prevent Independent Power Producers ("IPPs") from competing to supply energy to large loads under applicable state and or utility-led RFP processes. However, for an accelerated study process to have the level of certainty needed to function, the pairing must be established prior to submitting a LARS Application. LARS takes generation and Transmission Customer pairings as it finds them. It is not intended as an avenue for exploring

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[41] *See* Clean Energy Trades LARS Comments at 20; the Advocates LARS Comments at 18-19; and OMS LARS Comments at 4.

[42] *See* Clean Energy Trades at 6; the Advocates at 12; Geronimo Power at 5-6; and Google at 9.

commercial relationships that do not yet exist, and this is not required for the proposal to be just, reasonable, and nondiscretionary.

Second, while LARS is not intended to change well-established roles and responsibilities for who can submit projects needed to facilitate new load into MTEP, MISO has carefully developed LARS so as to not impede commercial relationships between Interconnection Customers and Transmission Customers. Specifically, LARS allows arrangements involving Interconnection Customers that are separate entities from the Transmission Customer and provides that the Interconnection Customer—and not the LARS Transmission Customer—will receive the LLGIA awarding Interconnection Service to LARS Associated Generating Facility and make decisions regarding the generator interconnection portion of the LARS Study. In other words, LARS simply recognizes the entities currently allowed to seek transmission service from MISO, and then adds a participation framework to ensure that any Interconnection Customers that pair with the Transmission Customer can participate in LARS and receive an LLGIA.

Several commenters also pointed to SPP's HILLGA process as a model that MISO should emulate with LARS.[43] HILLGA is a generator-driven process, while LARS is emphasizing the paired generation and load. The LARS Application requires both sides of the pair to participate and provide information for the application. LARS also has stricter site control requirements such that the Transmission Owner must agree on the POI at the time of application submission. MISO structured LARS so that it would only encourage truly shovel-ready, commercial projects where the relevant parties had already reached agreement before applying. MISO does not believe the LARS process will work for all projects – it was not designed to – but it will work for generation

[43] *See* Advanced Energy United and SEIA LARS Comments at 9; Clean Energy Trades LARS Comments at 17; and Geronimo Power LARS Comments at 10.

and load pairs that have reached an agreement before applying to participate in LARS. This kind of certainty and information will enable MISO to complete these parallel studies on an expedited basis and will assist MISO with identifying any optimized transmission solutions.

The LARS proposal in no way limits who can bring a proposed generation project to a Transmission Customer seeking Transmission Service on behalf of a Large Load that. All of this occurs prior to LARS. If an IPP has a generation project that is better, more cost effective, or otherwise preferable to alternatives, nothing in the LARS process stops the IPP from bringing this project forward for consideration and entering into a pairing arrangement with a LARS Transmission Customer. To the extent an IPP believes it is disadvantaged in such competition, that is not a result of any feature of the LARS proposal.

While several commenters also urged the Commission to sunset the LARS process after a certain period of time, MISO does not support an arbitrary end date for LARS and believes that allowing more time will help IPPs participate in the process.[44] MISO's internal forecast indicates that large loads will continue to grow in coming years. MISO's own recent experience with its EPR process demonstrates the dramatic increase in large load development. MISO does not want to propose an arbitrary end date on a beneficial study process that will help MISO identify optimized transmission solutions. Moreover, IPPs and other market participants will have more time to collaborate with Transmission Customers and LSEs when proposing potential generation/load pairs. MISO is not opposed to regularly reviewing LARS usage patterns to consider whether changes are needed but does not believe that a specific sunset date is appropriate.

[44] Clean Energy Trades LARS Comments at 17; and OMS LARS Comments at 10.

Finally, the structural design of LARS will systematically limit the number of projects that can be studied in it given the size and certainty requirements.

To facilitate this transparency, MISO commits to publicly post, at the beginning of each LARS cycle, information on each LARS generation/load pair's POI and POW, the MW values for large load and the generator, the project's LRZ location, and the number of LARS Applications received. This is an importance piece of MISO's commitment to transparency as part of the integration of large loads onto the Transmission System. Since LARS is proposed for such a unique and small group of projects, there is no need to place an arbitrary sunset on the study process.[45]

ii. The 200 MW Large Load Size Threshold is Necessary for Optimization

Over the past several years, MISO has gained experience with large loads through its EPR process. Through this experience, MISO has seen loads that are greater than 200 MW having a more significant impact on the Transmission System than smaller projects. MISO developed LARS for a select group of large loads that will have a sizeable impact on the system and that have formally paired with generation. MISO's design of LARS utilizes a more holistic study process for only the largest loads to try to optimize the best solution for the system. MISO plans to keep the current EPR process available for smaller load sizes of less than 50 MW or existing loads that are adding less than 25 MW and that still require faster processing than the traditional MTEP process. Moreover, in its November 16 filing, MISO will be proposing its LLPR process to study Large Loads greater than 50 MW that are not paired with a generator. LARS is a study process for large loads that are at least 200 MW and that have formally paired with a generator. MISO has

[45] MISO has always intended to provide this information as part of its broader commitment to transparency and expressly commits to making such public posting. While MISO does not believe that a compliance directive requiring MISO to reflect this commitment in the Tariff is needed, MISO would not object to such a directive if the Commission believes it is necessary.

developed these different study processes for diverse load sizes to increase the efficiency of the studies and identify the best mitigation solutions.

The parallel study process supplied by LARS is especially important for these very large load sizes. Optimized transmission solutions are the most impactful with very large loads. For example, if there is an extremely large data center being served by multiple generating facilities then it is likely that the associated Network Upgrades will be much larger, and the best opportunity for minimizing the cost of these Network Upgrades is studying the load and generation together. LARS is not aiming to replace other study processes at MISO but rather to ensure that the best study process for realizing cost efficiencies is utilized for the largest of loads. This is another reason why it is key that the Commission approve the LARS process expeditiously. In the context of the forecasted large load growth that MISO is facing in the near-term, it is critical that LARS is approved as soon as possible.

iii. The 15-Year Pairing Commitment is Necessary for Certainty

The 15-year minimum pairing of the generation and load pairs in LARS is a necessary aspect of ensuring certainty for MISO and ensuring that LARS is not used as a queue-jumping process by Interconnection Customers. MISO seeks to prevent either the generator or the load from using LARS to connect quickly and then operate without their partner. Requiring a 15-year minimum commitment is a key part of ensuring that pairing is a formal, long-term commitment. MISO envisions that LARS pairs will perform concurrently even though MISO is not requiring a generating facility's output to be matched to the demand of the electrically proximate large load. This is another requirement that will reduce speculative generation or load proposals that are not ready to connect to MISO's transmission system. Requiring this commitment to remain in place for a 15-year period is a balanced approach that ensures the pairings remain in place for a long

enough period of time and that discourages overuse of the process without foreclosing changes in the remote future that would create challenges to attracting project investment/financing.

Thus, arguments that LARS is flawed because it requires more commitment and commercial certainty than most projects entering the queue can provide entirely miss the point of what LARS is—and is not—intended to do. The agreement requirement is flexible enough for projects with commercial certainty to participate in LARS, regardless of the type of entity that is developing them. And the agreement requirement should not be made more flexible to allow in projects that do not meet the high hurdle that LARS is designed to maintain. LARS is not a broad queue replacement proposal and does not detract from the ability of ordinary generation or load projects to enter the DPP queue or EPR process (or to be submitted in the LLPR process) on the same basis as they have before LARS was proposed. MISO is simply requiring that the LARS generator and the LARS Associated Load remain committed for a significant amount of time to ensure certainty and as a way to avoid the circumvention of the DPP process.

E. MISO Has Met the Standard for an Independent Entity Variation

i. LARS accomplishes the purposes of Order Nos. 2003 and 2023

MISO is requesting an independent entity variation for LARS, which is a unique process that will involve a much smaller number of proposed projects that will be studied each year when compared to the traditional DPP queue. Consistent with Order Nos. 2003 and 2023, MISO may seek variations from the *pro forma* Large Generator Interconnection Procedures ("LGIP") and Large Generator Interconnection Agreement ("LGIA") if those variations "are just, reasonable,

not unduly discriminatory or preferential, and accomplish the purpose of" the terms proposed in Order Nos. 2003 and Order 2023.[46]

Because LARS is a standalone process, it should be viewed as one large independent entity variation with a defined rule set rather than individual independent entity variations for the numerous differences between the cluster-based process outlined in Order 2023-2023-A and LARS serial-based study approach for the generation side of the pair.[47] LARS will not be plagued with the same type of restudies that justified the Commission's adoption of the cluster study approach for the DPP process because a much smaller number of eligible projects will be studied annually. Since the number of projects that qualify for LARS will be significantly smaller than those that can participate in the DPP queue study, MISO can effectively study the proposed LARS projects on a serial basis and, as explained earlier, does not result in priority access for scarce available transmission capacity. MISO agrees that in most instances cluster studies are the most efficient route for an interconnection queue, but due to the unique characteristics of the LARS process, a serial-based study approach is more appropriate and will facilitate addressing more optimized transmission solutions in the MISO footprint.

Thus, the Commission should find that MISO's LARS process accomplishes the purposes of Order Nos. 2003 and 2023 despite not implementing a cluster process for the study of the generators.[48] A serial study process for the generating facilities participating in LARS is justified because it will be completed on an extremely small number of projects per year and cluster studies exist to manage interdependence among large numbers of unrelated requests, and that problem does not arise in LARS with such a small number being studied in a geographically dispersed

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[46] Order No. 2003, 104 FERC ¶ 61,103 at PP 825-826; Order No. 2023, 184 FERC ¶ 61,054 at P 1764.

[47] *See* Order No. 2023, 184 FERC ¶ 61,054 at P 1764.

[48] *See* Order No. 2003, 104 FERC ¶ 61,103 at PP 825-826; Order No. 2023, 184 FERC ¶ 61,054 at P 1764.

manner across different LRZs. LARS advances Order No. 2003's goal of expediting new generation while protecting reliability.[49]

LARS also meets Order No. 2023's goal of insulating the DPP queue and ensuring that only truly commercially ready projects apply.[50] Notably, the LARS process requires an increased non-refundable payment ("D1") of $250,000 that will be applied toward the costs related to processing the LARS request. The D1 payment and study deposits are used for study costs and other costs associated with processing the LARS request, which includes MISO internal staffing hours and contractor staffing hours. The strict eligibility requirements, including agreeing to formally pair for a minimum of fifteen years, also serves as a deterrent to speculative projects and enables the expedited study of unique generation/load pairs. Ultimately, LARS will help ensure interconnection to the transmission system in a reliable, efficient, transparent, and timely manner.

F. Miscellaneous Clarifications and Requests.

MISO first seeks to clarify the allowable Interconnection Service amount requested under the LARS Interconnection Request and whether the LARS Associated Load's expected peak demand means the load's demand at the time it first takes service or the expected demand once any planned phase build outs are completed.[51] MISO wants to clarify that it means that the identified peak demand amount identified in the LARS Application (*i.e.*, amount of Transmission Service requested), regardless of whether the load comes into service in phases. The applicants submitting a LARS Application must identify the LARS Associated Load's expected peak

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[49] *See* Order No. 2003, FERC Stats. & Regs. ¶ 31,146 at PP 822-827; Order No. 2003-A, FERC Stats. & Regs. ¶ 31,160 at P 759.

[50] *See Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 184 FERC ¶ 61,054, order on reh'g, 185 FERC ¶ 61,063 (2023), *order on reh'g*, Order No. 2023-A, 186 FERC ¶ 61,199, *errata notice*, 188 FERC ¶ 61,134 (2024).

[51] Base Electron Power LARS Comments at 3.

Demand once it is fully in service, even if it is developed and built in phases. But this does not mean generation can be sized to account for potential future load size increases not reflected in a Transmission Service/LARS application.

Second, MISO recognizes that Invenergy requested that "[t]he Commission should direct MISO to revise its proposed Tariff to clarify that MHVDC transmission lines and associated interconnected generation should be eligible to participate in LARS."[52] Invenergy argues that both MHVDC transmission lines and the generating facilities connected to those lines are equally capable of serving large load customers.[53] MISO appreciates this unique and creative proposal but does not believe that LARS is the appropriate construct for MHVDC transmission line participation.

First, the interconnection of MHVDC facilities is governed by its own process in Attachment GGG, which is separate from the GIP process and is much more study intensive.[54] Second, MHVDC Injection Rights may only be granted through the same study process as Interconnection Requests via Attachment X. If Invenergy is looking to have Injection Rights approved through the LARS process instead of the DPP process, that idea should be proposed in a new proceeding as it would require significant changes to Attachment GGG and Attachment X. As it currently stands, MHVDC projects can obtain firm Injection Rights (External NRIS) via the DPP process and pursue an off-taker for the generation facilitated by the MHVDC project outside of existing MISO processes. Third, MISO notes that the MHVDC interconnection process and the LARS process have nearly incompatible timelines as the connection procedures for MHVDC lines can

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52 Invenergy LARS Comments at 4.

53 *Id.*

54 *See* MISO, Attachment GGG, *Merchant HVDC Transmission Connection Procedures (MHCP)*, available at: https://docs.misoenergy.org/miso12-legalcontent/Attachment_GGG_-_Merchant_HVDC_Transmission_Connection_Procedures_%28MHCP%29.pdf.

take considerably longer than 120 days. LARS is a process for the parallel study of generation and load pairs. That said, MISO does not, in concept, oppose considering the addition of MHVDC participation within the LARS construct through a future filing. However, this is outside the scope of the current LARS proposal and would need to be proposed as an issue and then considered through MISO's stakeholder process.

IV. CONCLUSION

WHEREFORE, MISO respectfully requests that the Commission: (1) accept this Answer; and (2) accept the LARS Filing as discussed herein.

Respectfully submitted,
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Dated: November 9, 2026

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon each person designated on the official service list compiled by the Secretary in this proceeding.

Dated at Carmel, Indiana this 9th day of November, 2026.

/s/ Dawn Kaminski
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